

BSE Limited, also known as the Bombay Stock Exchange (BSE), is an Indian stock exchange based in Mumbai. Established in 1875, it is the oldest stock exchange in Asia, and also the tenth oldest in the world. It is the 6th largest stock exchange in the world by total market capitalisation, exceeding \$5 trillion in May 2024.

History

Bombay Stock Exchange was founded by a Jain businessman Premchand Roychand in 1875. While BSE Limited is now synonymous with Dalal Street, it was not always so. In the 1850s, four Gujarati and one Parsi stockbroker gathered together under a banyan tree in front of Bombay (now Mumbai) Town Hall, where Horniman Circle is now situated. A decade later, the brokers moved their location to under the banyan trees at the junction of Meadows Street and what was then called Esplanade Road, now MG Road. With a rapid increase in the number of brokers, they had to shift places repeatedly. At last, in 1874, the brokers found a permanent location, the one that they could call their own. The brokers group became an official organisation known as "The Native Share & Stock Brokers Association" in 1875.

In 1957, the BSE became the first stock exchange to be recognised by the Indian Government under the Securities Contracts Regulation Act.

The BSE is also a Partner Exchange of the United Nations Sustainable Stock Exchange initiative, joining in September 2012.

BSE established the India International Exchange (India INX) on 30th December 2016. India INX, based out of GIFT City, is the first international stock exchange of India.

BSE became the first stock exchange in the country to launch commodity derivatives contract in gold and silver in October 2018.

BSE was demutualised and corporatised on 19 May 2007, pursuant to the BSE (Corporatisation and Demutualisation) Scheme, 2005 notified by SEBI.

BSE Limited listed on the National Stock Exchange (NSE) on 3 February 2017 under the ticker

symbol of "BSE".

Criticism and controversies

BSE has witnessed several high-profile market manipulation scandals. At times, the Securities and Exchange Board of India (SEBI) has barred several individuals and entities from trading on the exchanges for insider trading and stock manipulation, especially in illiquid small-caps and penny stocks.

The BSE faced criticism during the early 2000s for delayed technology upgrades, which contributed to its competitor NSE gaining market dominance in electronic trading. In 2013, market participants raised concerns over alleged preferential access to BSE's trading systems, prompting calls for improved transparency and oversight, though no regulatory action followed.

See also

References

Notes

Citations

Further reading

External links

Official website